Justification for Other Than Full and Open Competition, Renewal

U.S. General Services Administration

GSA Region 2

Caribbean and New Jersey Branch, Leasing Division

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

PROJECT NUMBER: 4NJ0280

Agency Name: [redacted]

1. NATURE AND/OR DESCRIPTION OF ACTION BEING APPROVED.

The General Services Administration currently leases 12,409 ABOA/14,891 rentable square feet (RSF) of office space and 47 surface parking spaces at 1 Garret Mountain Plz, Woodland Park, NJ, under lease number LNJ24039 for the [redacted]. The current lease expires 11/04/2025. Approval is requested to add a renewal option with the incumbent Lessor, without full and open competition, that if exercised will allow for continued occupancy at this leased location. The existing Lease contains an evaluated renewal option, however, the option exceeds the current market rate and the Government does not intend to execute the existing renewal option. The procedures for pursuing a renewal option are detailed in 570.401: Renewal options.

2. DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS (INCLUDING ESTIMATED VALUE).

GSA received [redacted] long term requirements on 5/15/2023 for 14,891 rentable square feet of office and related space. A long term lease project for the [redacted] is currently in the development stage. The current lease has a 60 month evaluated renewal option, with the right to terminate upon 90 days notice at any time during the renewal period. The evaluated renewal option rental rate is approximately $10 above the current Bullseye market rate of $30.64 per RSF for fully serviced leases and is unfavorable to the Government. GSA is requesting to add a renewal option to the existing lease, and negotiate a rental rate that is fair and reasonable. This added renewal, if exercised, will secure Government occupancy while the long term lease action is completed. Based upon market research, the existing evaluated renewal option rental rate of $40.80 per RSF is considerably higher than the market. As such, GSA is seeking approval to add a new renewal and renegotiate the rental rate to reflect more favorable terms commensurate with the market. The proposed added renewal is for a sixty (60) month, at the anticipated rate of [redacted] per RSF or lower, all other terms remaining the same, to protect the occupancy of the [redacted]

The current annual rental under this lease is $446,931.01 ($30.01 per RSF, rounded) for a fully serviced lease. The proposed renegotiated annual rental rate for the renewal is expected to reflect the anticipated rental rate of [redacted] per RSF, inclusive of a carpet and paint refresh of the [redacted] office space for an aggregate total contract value of [redacted]. Termination rights are anticipated to continue from the original lease and may occur with 90 days prior written notice to the Lessor at any time during the renewal period. There is no vacant Federal Space available.

3. **IDENTIFICATION OF STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION.**

41 U.S.C. 3304(a)(1): Only one responsible source and no other supplies or services will satisfy agency requirements. This statutory authority is implemented through GSAR 570.402. In accordance with GSAR 570.402, use of the sole source authority is appropriate where it is determined that award to any other offeror would result in substantial duplication of costs to the Government that are not expected to be recovered through competition.

4. **DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACQUISITION REQUIRES THE USE OF THE AUTHORITY CITED.**

GSAR 570.402-5 allows for negotiation with the incumbent Lessor when a cost-benefit analysis shows that the Government cannot expect to recover relocation and duplication costs through competition.

It is in the best interest of the Government to remain at the current location. Award to other than the current Lessor would require relocation of the entire requirement and would cause [redacted] to incur move and replication costs that would not be recovered through competition. Furniture costs are estimated at $62,045.00. Relocation move costs are estimated to be $49,636.00. Telecommunications Replication Costs are estimated at $49,636.00. Additionally, this allows the Government to make use of existing tenant improvements, avoiding replication costs of $1,261,168.84 amortized over the term of the renewal. The current location is already built out to accommodate the [redacted] unique needs, including the following requirements: FSL 2 security upgrades, site fencing and holding cell/secure area requirements in addition to a backup generator.

A cost-benefit analysis was completed following the procedures set forth in GSAR 570.402-6. The cost of relocating [redacted] using the bullseye rate exceeds the cost of remaining at 1 Garret Mountain Plaza, Woodland Park, NJ 07424. The total savings to the Government is $1,394.937.00. The cost to move and replicate an already existing [redacted] office for a temporary period would, therefore, be excessive and not in the best interest of the Government.

5. **DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE.**

Per the requirements of GSAR 570.402, an advertisement, notice ID 4NJ0280, was posted on SAM.gov on 03/25/2024 until 04/01/2024 to identify any potential sites that could possibly meet [redacted] needs. The advertisement yielded no expressions of interest from the public.

6. **DEMONSTRATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE**

On 03/01/2024, market research was conducted through [redacted] Bullseye and Loopnet.com for the expanded delineated area in Woodland Park, NJ (attached). The Bullseye report revealed a target rental rate of $30.64 per RSF. The [redacted] report and Loopnet.com listings showed three (3) buildings within the delineated area with the available square footage necessary to meet the agency's requirement.
The table below reflects the adjusted fully serviced market rates.

Figure 1: Market Research Comparables

Property Description	Address	Municipality	Property Type	Base Rent	Opex (Inlcudes CAMS +	Total Rent	SqFt / RSF	POC	Notes	Source
1255 Broad St.	1255 Broad St.	Clifton, NJ 07013	Office	$ 28.50	$0.00	$28.50	10K-43K	[redacted]	*Fully Serviced	[redacted]
Innovation plaza	275 Paterson Ave.	Little Falls, NJ 07424	Office	$ 22.00	$6.50	$28.50	10,860	[redacted]	*modified gross lease, adjusted to incluc	
HUDSON REGIONAL MEDICAL ARTS BUILDI	855 Valley Rd.	Clifton, NJ 07013	Office	$ 29.50	$1.50	$31.00	7,483	[redacted]	*MG + Electric	

Date: 03/04/24		AVERAGE
GSA non Mkt Shell + $2/RSF	$2	$2.00
Shell + adjusted OE	$28.50-$31	$29.33
Fully Serviced Rent + $2 non mkt shell	$30.50 - $33	$31.33
Bullseye Market Avg. Wooldand Park, NJ	Fully Serviced Lease	$30.64

Based upon the market information gathered, a fully serviced market rent range is between $30.50 - $33.00 per RSF. Therefore, the proposed rental rate of [redacted] per RSF is within the market range and is considered fair and reasonable.

7. DESCRIPTION OF MARKET RESEARCH CONDUCTED AND THE RESULTS.

For the Market Research the LS procured the Bullseye & [redacted] report and found one comp on Loopnet.com MLS. The Bullseye report returned a target fully serviced rental rate of $30.64 per RSF. The initial [redacted] report returned no comps in Woodland Park, NJ. The search area was expanded to include surrounding towns and returned three comps out of which two were deemed useful for the market research. The three available comp properties were adjusted to reflect a fully serviced GSA lease and yielded a range of $30.50 - $33.00 per RSF. The median ascertain from the market range is $31.33 per RSF.

8. OTHER FACTS SUPPORTING USE OF OTHER THAN FULL AND OPEN COMPETITION.

Per the LAM, the existing lessor has provided adequate service to the Government throughout the term of this lease. GSA is not aware of any deficiencies at this location.

9. LIST OF SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.

No sources other than the incumbent Lessor expressed interest in this procurement.

10. STATEMENT OF ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION.

A competitive procurement is planned to replace this lease under project 4NJ0281.

11. **CONTRACTING OFFICER CERTIFICATION.**

By signature on this Justification for Other than Full and Open Competition, the GSA Lease Contracting Officer certifies that the negotiation of a renewal option for 14,891 RSF is in the Government's best interest and that this Justification is accurate and complete to the best of the GSA Lease Contracting Officer's knowledge and belief.

[redacted]_______________ Date__[redacted]_______

12. **PREPARER'S TECHNICAL CERTIFICATION.**

I certify that the supporting data used to form the basis of this Justification is complete and accurate to the best of my knowledge and belief.

Prepared by:

[redacted]______________________________ Date___[redacted]_______

Alexander Litvak, Leasing Specialist

_ [redacted]__________________________________ Date___[redacted]__________

Bena Parker, Lease Contracting Officer

Concurred by:

___[redacted]________________________________ Date__[redacted]__________

Raffaela Battiloro, Lease Acquisition Officer (2PR)

_[redacted]_________________________________ Date___[redacted]_________

Jeannette Rios, Leasing Director (2PR)

Reviewed by:

__[redacted]______________________ Date______[redacted]______

Leigh Erin S. Izzo, Senior Assistant Regional Counsel (2L)

Approved by:

__ [redacted]______________________ Date_____[redacted]______

Warren Hall, Competition Advocate

_ [redacted]______________________ Date______[redacted]_____

Michael Gelber, Regional Commissioner